IN THE SUPREME COURT OF ZAMBIA **SCZ/7/2/2025**
HOLDEN AT LUSAKA

(Civil Jurisdiction)

B E T W E E N

DANIELE VENTRIGLIA **1ST APPLICANT**
VALERO VENTRIGLIA **2ND APPLICANT**

AND

FINANCE BANK ZAMBIA LIMITED **RESPONDENT**

Coram	:	Musonda, DCJ, Kaoma and Kabuka JJs on 6th May 2025 and 10th March, 2026
For the Appellant	:	Mr. C. Sianondo with Mr. G. Mileji both of Malambo & Co.
For the Respondent	:	Mr. J.P. Sangwa SC, Simeza Sangwa & Associates

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RULING ON MOTION FOR LEAVE TO APPEAL TO THE SUPREME COURT PURSUANT TO SECTION 24 (B) OF THE SUPREME COURT ACT AS READ WITH RULE 48(3) OF SUPREME COURT RULES, CAP. 25.

MUSONDA DCJ delivered the Ruling of the Court

When we heard this motion, the Hon. Lady Justice Kabuka was a Panel member. The Hon. Lady Justice Kabuka having since retired, this Ruling is by the majority of the Panel.

Cases Referred to:

1. ***Elder Moonga & Others -v- National Institute for Scientific and Industrial Research: CAZ/08/018/2016***
2. ***Standard Chartered Bank PLC -v- Chanda and Another: SCZ Appeal No. 92 of 2009***
3. ***Bidvest Food Zambia Limited and Others-vs- CAA Import and Export Limited: SCZ No 56 of 2017***
4. ***Drill Africa Company Limited -v- Daniel Mpundu Konkola: SCZ/8/246/2016.***
5. ***Hakainde Hichilema -v- The A-G: SCZ Appeal No. 04 of 2019***
6. ***Laston Phiri -v- Tropical Research Centre: SCZ Appeal No. 5 of 2014***

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7. ***Mandona Freeboy -v- Joshua Nkandu: SCZ Appeal No. 6 of 2017: [2019] ZMSC 353***
8. ***Seaford Court Estates Limited v Asher: [1949] 2KB 481***
9. ***Barclays Bank -v- Quince care (1988) (reported) [1992] 4 All.E.R 363.***
10. ***Greer -v- Kettle: [1938] AC 156***

Legislation Referred to:

1. ***The Constitution of Zambia***
2. ***Court of Appeal Act No. 7 of 2016***
3. ***Supreme Court Act, CAP. 25.***

Other works Referred to

1. ***Chitty on Contracts, Volume 1*** (Sweet and Maxwell: London)
2. Penn, G,A, Shea, A,M & Arora, ***The Law Relating to Domestic Banking, Vol. 1*** *(Sweet & Maxwell: London)*

1.0. INTRODUCTION

1.1. This motion is arising from the decision of one of our number (Kaoma, JS) to adjourn or defer the hearing of an application by the Applicants for permission to appeal to this court following the Court of Appeal's refusal to grant the Applicants the aforementioned procedural relief.

2.0. HISTORY AND BACKGROUND

2.1. The history and background facts to the Applicants' continuing desire to secure permission to approach this apex court can briefly be recounted.

2.2. A private limited company which rejoiced and still rejoices under the name of Ital Terrazzo Limited **("ITL")**

had been a customer of the Respondent.

2.3. Over the course of the banker and customer relationship between the Respondent and ITL the former availed credit or banking facilities and other accommodation to the latter.

2.4. For the purpose of securing the said facilities and accommodation, the Applicants executed personal guarantees in favour of the Respondent. In terms of those guarantees, the Applicants guaranteed the payment, to the Respondent, of all such sums of money as were going to be due or owing on any account whatsoever which was held or maintained with the Respondent by ITL together with interest.

2.5. According to what we have been able to glean from the Motion Record, the credit facilities which ITL secured from the Respondent were subsequently assigned to a private limited company known as Zambezi Portland Limited.

2.6. Sometime in 2009, ITL instituted an action in the High Court of Zambia under cause 2009/HP/0381 against the Respondent. In terms of that action, ITL sought to be refunded moneys which the Respondent had

fraudulently recovered from it on account of the credit facilities earlier mentioned. For completeness, the said moneys were said to have been in excess of what was legitimately owed by ITL to the Respondent. For the avoidance of doubt, Messrs Zambezi Portland Cement Limited was subsequently joined to cause 2009/HP/0381.

2.7. By a letter of demand dated 13th October, 2011, the Respondent sought to recover the following moneys from the Applicants on account of the banking facilities and the guarantees mentioned at 2.4 above:

i. USD7,274,076.06 in respect of account No. 0010301880014;
ii. ZMK 92,225,046.87 in respect of account No. 0010301880006; and
iii. ZMK3,842,238,626.31 in respect of account No. 0024437900005

2.8. According to the motion record, the amounts specified in 2.7 above were said to have been due and owing as at 30th September, 2011.

RESPONDENT INSTITUTES LEGAL PROCEEDINGS

2.9. Sometime after the delivery of the demand letter which we momentarily referred to above, the Respondent

instituted cause 2011/HPC/0671 in the High Court of Zambia against the Applicants seeking the recovery of the moneys which we specified in 2.7 above.

2.10. It is not clear from the Motion Record why Cause 2011/HPC/0671 remained in cold storage until 22nd July, 2021 when the Applicants took out an application, before Musona, J seeking to have this cause set aside on account of the same having been instituted in abuse of court process. In the alternative, the Applicants sought to have the Cause (2011/HPC/0671) consolidated with Cause 2009/HP/0381. As noted at 2.6 above, cause 2009/HP/0381 was instituted by ITL against the Respondent in 2009.

2.11. In his Ruling dated 30th November, 2021 Musona, J observed that from what he had ascertained, the facts and transaction in the cause which was before him, namely, Cause 2011/HPC/0671, were the same as those relating to cause 2009/HP/0381.

2.12. His lordship also noted that the issues which characterised both causes could be determined in either one of them adding that it was

> **".. treacherous for the [Respondent] to have commenced an action in the commercial Division in 2011... with full knowledge of the matter which [had] been commenced by ITL in 2009 based on the same facts ..."**

2.13. The learned Judge accordingly proceeded to dismiss cause 2011/HPC/0671 on the basis of the same having been instituted in abuse of court process.

2.14. Following his Order in 2.13 above, Musona, J went on to observe that the Applicants' application to consolidate as adverted to in 2.10 had been rendered redundant as a result of the dismissal of Cause 2011/HPC/0671.

2.15. The Ruling by Musona, J was not well received by the Respondent. Accordingly, the Respondent decided to mount an appeal to the Court of Appeal (Makungu, Chishimba and Muzenga, JJA) against the same on one ground the gist of which entailed faulting the judge (Musona, J) for having determined that cause 2011/HPC/0671 had been instituted in abuse of Court process.

2.16. Following the filing of the Notice of Appeal in the Court of Appeal, the Applicants filed a Notice to Raise

Preliminary Issues on 7th November, 2023 the gist of which was that the Court of Appeal had no jurisdiction to hear the appeal because no Memorandum of Appeal was filed in the High Court as dictated by the applicable Court Rules thereby rendering the appeal fatally defective and depriving the Court of Appeal of the necessary jurisdiction to entertain the same.

2.17. When the appeal came up for hearing on 17th November, 2023, the court heard the parties' respective arguments in relation to the Preliminary Objection founded on the issues adverted to in 2.16 above.

2.18. In dismissing the Preliminary Objection, the Court of Appeal observed that both the Notice of Appeal and the Memorandum of Appeal were filed on the same day save that only the Notice was signed by the Registrar. According to the Court of Appeal, the fact that the Notice of Appeal was signed and bore the same date which appeared on the Memorandum of Appeal should incline everyone towards the irresistible conclusion that the fact of the memorandum having been unsigned was a mere omission on the part of the Registrar.

2.19. According to the Court of Appeal, the situation would have been different had both the Notice of Appeal and the Memorandum of Appeal not been signed by the Registrar or had the two been filed and stamped on different dates.

2.20. The Court further observed that the Notice was filed in the High Court on 30th December, 2021 and that on the same date, the memorandum was filed in the Court of Appeal. Accordingly, the court dismissed the Preliminary Issues.

2.21. After resolving the Preliminary Issues, the Court of Appeal proceeded to hear the parties' respective arguments for and against the appeal which the court considered before rendering its Ruling the gist of which was that the conclusion by Musona, J that the two causes which he (Musona, J) had pronounced himself upon were the same and were based on the same facts or issues was erroneous. According to the Court of Appeal, cause 2009/HP/0381 and cause 2011/HPC/0671 were materially and substantively different. The court went on to observe that no issue of

abuse of court process had arisen at all as Musona, J had determined.

2.22. In the course of delivering its Ruling, the Court of Appeal observed that, according to the statement of claim in cause 2011/HPC/0671, the guarantee which the Applicants had issued in favour of the Respondent was an unconditional one and that the implication of that characterisation was that the guarantors were liable on demand and that such liability was not dependent on default on the part of the principal borrower (ITL).

2.23. According to the Court of Appeal, the two causes in issue were different particularly because, by its cause, the Respondent was seeking to pursue the Applicants on the basis of their unconditional guarantee. The Court accordingly set aside Musona, J's Ruling and ordered that cause 2011/HPC/0671 be sent back to the High Court so that it could take its normal course.

2.24. The meaning and effect of the Court of Appeal's Ruling in 2.23 was that cause 2009/HP/0381, which was instituted by ITL against the Respondent, was going to be proceeded with as was cause 2011/HPC/0671

which had been launched by the Respondent against the Applicants.

3.0. APPLICANTS LAUNCH APPLICATION FOR PERMISSION TO APPEAL BEFORE COURT OF APPEAL

3.1. Following the decision of the Court of Appeal as captured in para 2.23 above, the Applicants approached the Court of Appeal seeking permission to appeal to this court against that court's decision at para 2.23 (dismissing Musona, J's Ruling).

3.2. The Applicant's search for permission to appeal to this court was founded on three statutory premises which are projected in section 13(3) of the Court of Appeal Act No. 7 of 2016 in the following terms:

i. *that there are compelling reasons for the appeal to be heard by this court;*
ii. *that the appeal would have reasonable prospects of success; and*
iii. *that the appeal raises a point of law of public importance.*

3.3. The backdrop to the Applicants' search for leave to appeal was the Court of Appeal's judgment setting aside the honourable Mr. Justice Musona's High Court judgment, in terms of which judge Musona decided that the institution, by the Respondent, of High Court cause

2011/HPC/0671 against the Applicants with full knowledge, on the part of the Respondent, that a similar matter, namely, High Court Cause 2009/HP/0381, over the same subject matter, had been instituted against the Respondent by ITL in abuse of the process of the Court.

3.4. As it happened, the Court of Appeal did not agree with the view which Musona, J took as that superior court opined that the two causes alluded to in 3.3 revealed different claims or causes of action.

3.5. After considering the arguments for and against the Applicants' application for permission to appeal, the Court of Appeal came to the conclusion that it could not grant the same as it did not consider that the Applicants had met any of the statutory leave thresholds which section 13(3) of the Court of Appeal Act, No. 7 of 2016 prescribed.

3.6. In particular, the Court of Appeal reasoned, in relation to the Registrar's omission to sign the Memorandum of Appeal, that the failure on the part of the High Court Registrar to endorse his signature in the designated space of the Memorandum of Appeal which had

accompanied the Notice of Appeal under circumstances whereby the Notice was duly stamped and signed by him while the memorandum was only stamped and signed in the same manner as the Notice but had remained unsigned in the designated space was not fatal as the Registrar's failure to sign the memorandum merely represented an omission on his part.

3.7. For the avoidance of doubt, the Court of Appeal did not consider that the anomaly around the Memorandum of Appeal was of such significance as to impact the Court of Appeal Act's leave threshold criteria contemplated under section 13(3) of that statute.

3.8. Quite apart from the court of Appeal having taken the position that none of the Applicants' proposed grounds of appeal met any of the criterion prescribed in section 13(3) of the Court of Appeal Act for the purpose of satisfying this court's case admission leave threshold, that court was resoundingly unequivocal that the appeal which the Applicants wished to launch did not raise any issues of public importance, nor did it have any reasonable prospects of success. To crown it all, the court did not consider that any compelling grounds

had been raised by the Applicants to warrant granting them leave.

4.0. APPLICANTS RENEW APPLICATION FOR PERMISSION IN THIS COURT

4.1. Following the Applicants' failure to secure permission to appeal before the Court of Appeal, the duo decided to approach this court where they premised their continued search for that permission on the statutory prescribed threshold which they had invoked before the Court of Appeal.

4.2. In addition to the statutory leave threshold, the Applicants have fronted four (04) grounds on which they have proposed to anchor their appeal. The four grounds are:

1. *The Court of Appeal erred both in law and in fact in holding that it had jurisdiction to hear the matter in the absence of the Memorandum of Appeal being filed into the High Court.*
2. *The Court of Appeal erred both in law and in fact in holding that the commencement of the matter against the guarantors was not an abuse of court process when there was another action by the principal.*
3. *The Court of Appeal erred both in law and in fact in upholding issues which were not raised before the High Court and were not subject of determination in the court below which include the pre requisite to file a counter claim and that the guarantee was unconditional.*

4. *The Court of Appeal erred both in law and in fact in holding that the guarantee was unconditional and liable on demand when in fact there was no guarantee on record for the court to anchor the said finding.*

4.3. The Applicants' search for permission to appeal to this court is also supported by an Affidavit which was sworn by learned Counsel Clavel Mbone Sianondo and filed in this court on 10th January, 2025.

4.4. Aside from the said Affidavit, the Applicants seek to rely on the Arguments which were also filed in court on 10th January, 2025 to buttress the application in question.

4.5. In his supporting Affidavit, the deponent, Counsel Clavel Mbone Sianondo, deposes, by reference to relevant exhibits, that following the High Court (Musona. J)'s entry, on 30th November, 2021, of a Ruling which was favourable to the Applicants, the Respondent set about to appeal against the same.

4.6. In pursuance of its said desire to appeal, the Respondent's Counsel proceeded to file the relevant Notice of Appeal on 30th December, 2021 but that the same, that is, the Notice of Appeal, was not accompanied with the requisite Memorandum of Appeal as required by the Rules of Court.

4.7. As the hearing of the appeal adverted to in the preceding paragraph was approaching, Counsel for the Applicants filed a Notice of intention to Raisé preliminary issues relative to the Respondent's appeal. In particular, learned Counsel for the Applicants indicated in the Arguments which were filed in support of the aforementioned Notice that the Respondent's failure to file the Memorandum of Appeal simultaneously with the Notice of Appeal when the said Notice was filed rendered the Respondent's appeal fatally defective.

4.8. For the purpose of reinforcing Counsel Sianondo's Affidavit deposition that the non-filing of the Memorandum of Appeal rendered the appeal fatally defective, the Applicants made reference to the Court of Appeal decision in **Elder Moonga & Others -v- National Institute for Scientific and Industrial Research**[1] in which that court decided that failure to file the Memorandum of Appeal was fatal to the appeal.

4.9. Counsel Sianondo further deposed in his Affidavit that, in its Ruling dismissing the preliminary issue alluded to above, the Court of Appeal observed that the Memorandum of Appeal in question was actually filed

but that the same was not just signed by the Registrar in the designated space and that, in the Court of Appeal's view, the non-signing of the Memorandum was not fatal as it was a mere omission.

4.10. Counsel Sianondo also complained, in effect, that the Court of Appeal should have provided proper guidance on the issue of the unsigned Memorandum of Appeal as, in learned Counsel's view, the same should have been the subject of a formal court application to correct or rectify the anomaly.

4.11. In Counsel Sianondo's view, the approach of the Court of Appeal in this matter, as pitted against that Court's approach in **Elder Moonga**[1]**,** yielded incompatible and irreconcilable or conflicting outcomes upon which this court of last resort must have the last say.

4.12. Counsel Sianondo concluded his Affidavit by deposing that the matters and issues which he had deposed to in his Affidavit transcend this particular matter or dispute and have the potential to generate a snowballing effect on the general administration of justice.

4.13. Leaving aside the matters which were deposed to in the affidavit of Counsel Sianondo, the Applicants' Motion for permission to appeal is supported by Legal Arguments which were filed into Court on 10th January, 2025.

4.14. One argument which has been projected in the Applicants' Arguments revolves around the defective Memorandum of Appeal which was highlighted in Counsel Sianondo's Affidavit.

4.15. A point which has been adverted to in the legal Arguments around the Memorandum of Appeal in question is that the issues which the Court of Appeal brought to the fore and that court's reaction thereto need to be properly and authoritatively reconciled, given that *"the Notice and Memorandum of Appeal are the foundation of ... all appeals"*.

4.16. According to the Applicants, 'conflicting' and/or 'irreconcilable' issues around the Notice and Memorandum of Appeal, as the very *'fountain head'* and *"foundation"* of appeals raise issues of law of public importance which transcend whosoever may be parties to an action at any point in time.

4.17. Another point of note which the Applicants raised in relation to the Memorandum of Appeal in issue was that nothing was pronounced by the Court of Appeal in the way of guidance or corrective measures for the purpose of regularising the anomaly. Instead, the appeal in question proceeded right up to hearing without anything being done about it. In this regard, Counsel for the Applicants cited the case of **Standard Chartered Bank PLC -v- Chanda and Another**[2] in which this court observed that:

> **"[A] reason, no matter how well articulated, cannot, of its own, cure a defect. The party concerned must [take appropriate measures] to cure a defect ... The court has no mandate to choose to ignore the defect [let alone] to proceed as if the defect never existed".**

4.18. Another issue around which the Applicants' Counsel loudly complained revolved around the Court of Appeal's decision to:

> **"[Go] ahead to determine the matter based on the pleadings and without trial ... on the aspect that the guarantees were unconditional, an issue which was not the subject of determination before the High Court..."**

4.19. Having regard to what has been highlighted in 4.18, the Applicants' Counsel remonstrated over the lower court's postulation around ***"a conditional and an unconditional ... guarantee"*** and insisted that this is an issue of great public importance with serious implications for commerce in our jurisdiction and, therefore, one that the Supreme Court should interrogate and pronounce itself on.

4.20. By way of summing up, the Applicants' counsel has contended that the issues which the Applicants have highlighted in this motion transcend this particular matter as well as the parties involved and are deserving of this final court's attention and interrogation so that the litigating public can be appropriately guided.

4.21. Turning to the Respondent, the Motion Record before us does not appear to contain any opposing Affidavit to the Motion by or behalf of the Respondent. However, very detailed 'Skeleton Arguments' were filed on behalf of the Respondent in the way of opposing the Motion.

4.22. Foremost, the Respondent has contended in its Arguments that the Applicants' motion is devoid of merit and ought to be dismissed.

4.23. The Respondent has projected, by way of an overarching contention, that applications for permission to appeal to this court from a decision of the Court of Appeal are governed or regulated by section 24(b) of the Supreme Court Act and not section 13(3) of the Court of Appeal Act and this court's decision in **Bidvest Food Zambia Limited and Others-vs- CAA Import and Export Limited**[3].

4.24. While deferring to its overarching contention in 4.23, the Respondent contends that in the event of this court disagreeing with its postulation in 4.23, it remains the position of the Respondent that the Applicants' search for permission to come to this court should fail on the footing that the Applicants' proposed grounds of appeal offend Order 10, r 9(2) of the Court of Appeal Rules.

4.25. Having projected the Respondent's overarching contentions in 4.23 and 4.24 above, learned counsel for the Respondent has gone further to avail some flesh to his overarching contentions by positing that, in spite of moving this court pursuant to section 24(b) of the Supreme Court Act as read with Rule 48(3) of the Rules of the Supreme Court, CAP. 25, the Applicants have

not advanced any arguments which address the provisions we momentarily alluded to.

4.26. According to the Respondent, what the Applicants have only done, in aid of their application, is to demonstrate that they have satisfied the requirements of section 13(3) of the Court of Appeal Act, to the extent that this provision was unpacked and given life in our seminal decision in **BIDVEST**[3]**.**

4.27. The Respondent has gone further to contend that, so far as the issue of seeking permission to appeal is concerned, the Court of Appeal is governed by its own legal provision, namely, section 13(3) of the Court of Appeal Act, while this court is separately regulated by section 24(b) of the Supreme Court Act.

4.28. The Respondent has also argued that, so far as this court is concerned, the exercise of its discretionary power in favour of or against the granting of permission to appeal depends on the ability of the party seeking such permission to demonstrate that their proposed appeal has prospects of success.

4.29. According to the Respondent, a party seeking permission to appeal from the Court of Appeal to this

court is required to fulfill or satisfy the statutory thresholds which are embedded in section 13(3) of the Court of Appeal Act.

4.30. The Respondent has further contended that the application for permission to appeal to this court which the Applicants mounted, to the extent that the same was founded on section 13(3) of the Court of Appeal Act, is *ultra-vires* section 24(b) of the Supreme Court Act.

4.31. The Respondent has also argued, in the alternative, that should this court be of the view that it is obliged to follow section 13 of the Court of Appeal Act and our decision in **BIDVEST**[3], then the position of the Respondent remains that the Applicants have failed to fulfill the requisite conditions for the purpose of granting them permission to appeal while their proposed grounds of appeal offend Order 10, r 9(2) of the Court of Appeal Rules.

4.32. The Respondent has further submitted that it is not enough, for the Applicants, merely to claim, in their arguments in support of their search for permission to appeal, that they have fulfilled the statutory

prescriptions for the grant of such permission. Rather, the Applicants must, infact, lay bare the material to support such claim. In this regard, the Respondent has referred us to a decision of a single member of this court in **Drill Africa Company Limited -v- Daniel Mpundu Konkola**[4] to support its contention.

4.33. It is worth pointing out, at this stage, that we have also noted the Respondent's other arguments touching on how the Applicants' proposed grounds of appeal offend the Rules of the Court of Appeal as well as those of this court vis-à-vis their structure, content, substance and manner of presentation.

4.34. With regard to the Applicants' contention that the absence of a valid Memorandum was, in line with **Elder Moonga**[1], fatal to the Respondent's appeal in question and that this issue was one of public importance, the Respondent has argued that the court below did distinguish the case which was before it from **Elder Moonga**[1] and *"used its discretion to hear [the appeal] anyway"*.

4.35. By way of conclusion, the Respondent has repeated its earlier contentions alleging failure, on the Applicants'

part, to present material before us for the purpose of persuading us to grant the application being sought.

4.36. The Respondent has also reiterated its contention around the Applicants' alleged failure to anchor their search for permission to appeal on some solid, viable and legally compliant basis.

4.37. The last substantive issue which the Respondent has projected is that the Applicants' contention pointing to conflicting decisions involving **Elder Moonga**[1] and the Ruling of the Court below on the Applicants' application for permission to appeal scarcely raises any point of law of public importance. Accordingly, we were urged to dismiss the Applicants' application with costs.

4.38. The Applicants reacted to the Respondent's Arguments in the way of filing their Arguments in Reply.

4.39. The Applicants' overarching reply or reaction to the Respondent's Arguments opposing the former's Application, particularly the Respondent's contention relating to the structure, content/substance and presentation of the Applicants' proposed grounds of appeal is that the same cannot be sustained.

4.40. According to the Applicants, this court can discern, from their proposed grounds, what the nature of the grievance which prompted their desire to appeal is. In this regard, we were referred to our decision in **Hakainde Hichilema -v- The A-G**[5] (in which Rule 58 of our Rules was extensively debated) where we made the general observation that a ground of appeal can be allowed to stand ***"... notwithstanding [any] deficiencies"*** which may be associated with such a ground.

4.41. At the oral hearing of the motion on the 6th of May, 2025, Counsel for the two sides essentially summed up what was reflected in their written Arguments.

5.0. CONSIDERATION OF THE APPLICATION AND DECISION

5.1. We have examined the Motion Record, including, for the removal of any doubt, the Motion for Permission to Appeal, the Affidavit which was filed in support of the Motion together with the exhibits thereof, the Arguments which were filed to support the Motion as well as Arguments which were filed in opposition to the Motion and express our appreciation to counsel involved for their useful exertions.

5.2. For the avoidance of doubt, we keenly and most intensely examined the Ruling of the Court of Appeal which generated the grievance that prompted the Applicants to approach this Court in search of permission to appeal to us which the Court of Appeal withheld.

5.3. We must stress, from the outset, that although the Applicants did not, in the crafting, packaging and/or presentation of their proposed Grounds of Appeal express themselves in the best of terms, let alone, exude the degree of *'elegance'* and *'precision'* which we probably had in mind when we handed down our decision in **Laston Phiri -v- Tropical Research Centre**[6] which appears to have inspired or enthused learned State Counsel Mr. John Sangwa in his written, very detailed and enormously intriguing Arguments contesting the present application, we do consider, as we intimated in **Mandona Freeboy -v- Joshua Nkandu**[7] (once again, drawn to our attention and relied upon by Mr. J. Sangwa, SC) that the Applicants' application for permission to appeal was founded on legally 'discernible', legally viable and legally tenable grounds

of appeal (at any rate, some or the more determinative of them).

5.4. We would actually hazard to suggest, in fact, that a good chunk of the appeals that find their way to this Court cannot stand even the barest scrutiny if we allowed ourselves to be as overly pedantic as Mr Sangwa, SC appears to have been suggesting. And yet we entirely agree with Mr Sangwa that Rules of Court must be followed. Afterall, the justice that our Courts dispense is dispensed in accordance with the law (which, needless to say, includes Court Rules). But lest it be forgotten, our Republican Constitution itself makes its final call on the matter: Justice must be dispensed without ***undue*** regard to technicalities (Article 118). Lest, yet again, anyone be in any doubt, it was the legendary Lord Denning, a reputed Master of the English language, who famously reminded us in **Seaford Court Estates Limited v Asher**[8] that

> **"The English language is not an instrument of mathematical precision".**

5.5. One complaint or grievance which the Applicants have fronted in challenging the denial, by the court below, of

the opportunity to have them approach this court to secure the requisite permission relates to the unsigned Memorandum of Appeal

While we do not propose to rehash the contributions, which the parties to the debate which unfolded before us made, it is sufficient to acknowledge that the same revolved around a very narrow campus.

5.6. When the Applicants objected to having the Respondent's appeal proceed on the basis that the relevant Record of Appeal did not have a valid Memorandum of Appeal and that the same ought to be dismissed in the same way that the Court below approached the issue in **Elder Moonga**[1], the Court of Appeal reacted against the objection substantially on the basis that, in the appeal by the Applicants, the Registrar's failure to sign in the designated space of the Memorandum of Appeal represented 'a mere omission'.

5.7. For the avoidance of doubt, the Court of Appeal said:

> **"We note that the Memorandum of Appeal was indeed not signed or endorsed by the Registrar. We however note that the Notice of Appeal was filed on the 30th December, 2016 in the High Court, signed by the Registrar and filed in the High Court on the**

> **same date. The Memorandum of Appeal was equally filed in this court on the same day. We also note that a Notice of Appeal and Memorandum of Appeal were filed at the same time. The fact that the Notice of Appeal was signed and the date on it is the same as the one on the Memorandum of Appeal leads to an irresistible conclusion that the failure to sign the Memorandum of Appeal was an omission on the part of the Registrar".**

5.8. In their Arguments, the Applicants complained that what the Court of Appeal said, as captured in 5.7 above, was neither enough nor helpful to the litigating public, be it now or in the future. The Applicants opined that the Court of Appeal should have done better, as for instance, by facilitating the rectification of the anomaly which had characterised the memorandum. To reinforce this point, the Applicants referred us to the case of **Standard Chartered Bank Zambia PLC -v- Chanda and Another**[2] where this Court said:

> **"We have stated in a plethora of cases that [a] reason, no matter how well articulated, cannot of its own, cure a defect. The party concerned must [take appropriate measures] to cure a defect. The court has no mandate to choose to ignore the defect [let alone] to proceed as if the defect never existed".**

5.9. We must immediately confirm that we do associate ourselves with the Applicants' protestations. Clearly, the lackadaisical or even casual manner in which the Court of Appeal approached the Registrar's failure to sign or endorse the Memorandum of Appeal left much to be desired particularly in the light of that senior Court's acknowledgement that there had been an 'omission' on the part of the Registrar.

We pause here to remind ourselves of a variety of troubling issues and questions which freely flow from the Court of Appeal's apparent disposition: Was the appeal whose Record of Appeal contained the defective or irregular Memorandum of Appeal to be treated as competent for the purpose of its prosecution? Was the 'Certificate of Record' which the Registrar prepared and is part of the Record and which announces that the Record of Appeal had been prepared in accordance with the Rules of Court to be relied upon?

5.10. As the Applicants correctly argued, a valid Memorandum of Appeal is the foundation stone on which an appeal to this Court rests. It is, without

doubt, not a document that can be trivialized in the manner the subject Memorandum of Appeal was apparently treated by the Court of Appeal which, following its creation by the Republican Constitution, as amended in 2016, now bears the primary responsibility for setting normative standards for the conduct of civil litigation.

5.11. The view which this Court takes is that Court of Appeal should have reflected more patiently and more profoundly on the necessity of having the situation which had arisen pronounced upon by this court not only on account of its gravity but also on account of the fact that it transcended the interests of the particular parties who were appearing before the court at the time. Needless to say, the Court below should have also recognised that the issue of having an appeal or a purported appeal in this court of last resort that would be riding on a defective or invalid Memorandum of Appeal is so grave that it goes to the competence of the appeal itself, let alone, the Court of Appeal's own jurisdiction to entertain it! In truth, the manner in which the Court of Appeal dealt with the Memorandum

in issue went against both the letter and spirit of the guidance we proffered in **Standard Chartered Bank Zambia PLC[2].** For the removal of any doubt, the Court chose to ignore the defect, to treat the defect with the memorandum as if it never existed, even in the face of our clear guidance that a court does not have such liberty or 'mandate'.

5.12. All said, what the Applicants fashioned as the first ground of Appeal is deserving of this court's attention and interrogation, because, in truth, the issue it raises is one of public importance.

5.13. In terms of the Applicants' intended appeal's prospects of success, we are of the strong view that the proposed ground, which is numbered 4 in the summons/motion for leave, is poignantly instructive.

5.14. In its judgment dated 24th November 2023, the Court below (Makungu, Chishimba and Muzenga JJA) made the following observations, at page J13:

> **"We ... agree that according to the Statement of Claim the guarantee undertaken (sic.) by the Appellants was an unconditional one, where the guarantor is liable on demand. It is not therefore dependent on default by the principal borrower.**

> **Whether or not the appellant was rightly entitled to assert the claim on demand from guarantors is an issue for determination in the cause**
> **We therefore find that the causes of action are different, because in *casu*, the appellant is pursuing the guarantors on the basis of the unconditional guarantee".**

5.15. To put the above quotation into context, we return to the *'History and Background'* issues which we highlighted under para. 2 above.

It is to be noted from the background issues that the Applicants had guaranteed some borrowings and other accommodation by a company called Ital Terrazzo Limited from the Respondent.

5.16. It should further be noted that the portion or passage which has been drawn from the judgment of the Court of Appeal which the Applicants propose to appeal against is completely misleading and does not reflect the correct position of the law.

5.17. It is also quite clear and self-evident that the passage from the Court of Appeal's judgment which has been reproduced at para 5.13 appears to have been informed

by what is contained at pages J8 to J9 of that judgment which reads:

> **We were referred to the learned authors of *CHITTY ON CONTRACTS*, (London: Sweet and Maxwell, 1999) under paragraph 37 – 115, where they explain the categories of bonds and guarantees as follows:**
> **"Performance bonds may be considered as falling into one of two categories. Conditional performance bonds exist where the guarantor only becomes liable to the party entitled to claim the bonded sum (the beneficiary), on proof of breach of the terms of the underlying building contract, or on proof of both breach and loss as a result of the breach. Unconditional or (more usually) "on demand" bonds exist where, on true construction of the words used in the bond, the guarantor is liable to pay the beneficiary the bonded sum when the demand is made in the manner provided for in the bond, without the need for the beneficiary to prove breach of the underlining building contract or damage (or both). It is a question of construction in each case whether a bond, taken as a whole, is conditional or on demand and on the former case, the nature of the conditions attaching to the bond will also be a matter of the construction of the often complex archaic".**

5.18. It is worthy of note that the Court of Appeal appears to have confused or misapprehended passages from ***CHITTY ON CONTRACTS*** which deal with ***Performance Bonds*** with the conceptually and practically dissimilar concept of ***personal guarantees.*** Clearly, it is the latter, as opposed to the former, which should have informed the lower Court's appreciation of the Applicants' circumstances.

5.19. The authors of ***CHITTY ON CONTRACTS, Volume 1,*** do, in fact, discuss *contracts of guarantee* in the following terms (at page 1553):

> **The general approach to the construction of the contracts of guarantee is that it must be "*strictly construed in favour*" of the guarantor and that "no liability is to be imposed on him which is not clearly and distinctly covered by the contract".**
> **"The reasons for this strict construction are that, in general, the [guarantor] receives no benefits from the contract which is, so far as he is concerned, gratuitous.**

5.20. With due respect, the Court of Appeal appears to have misapprehended the meaning of the expressions *"unconditionally liable" and "on demand"* in relation to the contract of guarantee. We say this because,

according to ***Chitty on Contracts*, Vol. 1,** at P. 1556, the word *'conditional'* in relation to a contract of guarantee is used in the sense explained below:

> **"Conditional guarantees. A guarantee may, on its true construction, be conditional. So, for example, where a person executed a guarantee on the faith of a representation that it would also be executed by another person as co-surety, the liability of the former was held to be conditional on the execution of the guarantee by the latter: Barclays Bank -v- Quince Care[9]: Similarly, if a loan is guaranteed and the loan is expressed to be secured, the guarantee may be conditional on the existence of the security. So, in Greer -v- Kettle[10], where a person guaranteed a loan which was expressed to be secured by a charge on certain shares, and the shares had not been validly issued, it was held that the surety was not liable. In order to establish such a condition, the guarantor must show that the giving of some other valid security formed part of the contract of guarantee..."**

5.21. For their part, Penn, G.A, Shea, AM & Arora, A, the learned authors of **The Law Relating to Domestic Banking, Vol. 1** have also said:

> ***"[A] guarantee [arises where] the Guarantor agrees with B (the Bank) that if the debtor (D) does not meet a legally binding obligation owed by the debtor to the Bank, then the***

> ***guarantor will meet it. Thus, the guarantor's liability is "secondary" or "Collateral", in the sense that it is dependent on the debtor's obligation, and he is liable only on the debtor's default.***
>
> **Strictly, on a guarantee, the guarantor is liable if the debtor is liable and to some extent, only in the event of the debtor's default...**

5.22. We entertain no doubt that what we have unraveled in the immediately preceding paragraphs represents the applicable law which governed the legal relationship between the Applicants and ITL.

5.23. We note that the Court of Appeal appears to have uncritically relied upon material which counsel had placed before it. That material was patently misleading. The troubling issues which exercised our minds were: Did counsel deliberately set about to mislead the Court below? Or was it an unfortunate case of counsel having been at sea as to what the applicable law was?

5.24. Whatever be the answers to the concerns highlighted above be, the discourse in the preceding paragraphs clearly and amply demonstrates that there are some pertinent issues around the matter or matters the

subject of this litigation which deserve the attention of this Court.

5.25. In the premises, we entertain no doubt that the Applicants' proposed appeal is worthy of interrogation by this Court to the extent that such appeal will be founded on grounds 1,2, 3, and 4 in the relevant documents relating to the leave application.

6.0 **CONCLUSION**

6.1 This motion was bound to succeed. It has. We grant the Applicants permission to appeal but defer the issue of costs to the outcome of the proposed or intended appeal.

M. MUSONDA
DEPUTY CHIEF JUSTICE

R.M.C. KAOMA
SUPREME COURT JUDGE